BDO

AUDITED FINANCIAL STATEMENTS
OF
AFGHANISTAN INTERNATIONAL BANK (AIB)
FOR THE YEAR ENDED DECEMBER 31, 2025

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INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF AFGHANISTAN INTERNATIONAL BANK

Opinion

We have audited the financial statements of Afghanistan International Bank (the Bank), which comprise the statement of financial position as at December 31, 2025, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policy information.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Bank as at December 31, 2025, and of its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) issued by the International Accounting Standards Board (IASB), the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank.

Basis of Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Bank in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other Matters

The financial statements for the year ended December 31, 2024, were audited by another firm of chartered accountants who had expressed an unmodified audit opinion vide their report dated March 09, 2025.

Responsibilities of Management and those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs issued by the International Accounting Standards Board (IASB), the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

BDO Ebrahim & Co. Chartered Accountants
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- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Bank's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Bank to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

The engagement partner on the audit resulting in this independent auditor's report is Muhammad Kamran.

KABUL
DATED: 07 APR 2026

BDO EBRAHIM & CO. KABUL Chartered Accountants

CHARTERED ACCOUNTANTS
Engagement Partner: Muhammad Kamran

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AFGHANISTAN INTERNATIONAL BANK
STATEMENT OF FINANCIAL POSITION
AS AT DECEMBER 31, 2025

	Note	2025	2024
		---------- AFN in '000 ----------	
ASSETS			
Cash and balances with Da Afghanistan Bank	5	11,198,157	19,467,147
Balances with other banks	6	4,680,301	4,795,887
Placements / wakala - net	7	10,219,605	7,165,251
Investments / sukuk - net	8	7,355,729	6,664,598
Islamic financing and related assets - net	9	269,308	137,619
Operating fixed assets	10	2,395,084	2,513,313
Intangible assets	11	215,293	269,585
Deferred tax assets	12	120,117	-
Other assets	13	1,083,807	1,680,905
Total assets		37,537,401	42,694,305
LIABILITIES			
Customers' deposits	14	33,750,713	37,855,885
Deferred income		166	360
Lease liabilities	15	73,538	115,432
Deferred tax liabilities		-	27,077
Other liabilities	16	478,003	711,434
Total liabilities		34,302,420	38,710,188
EQUITY			
Share capital	17	1,465,071	1,465,071
Capital reserves	18	521,602	502,043
Retained earnings		1,217,801	2,114,181
Revaluation surplus/ (loss) on debt instruments at FVOCI		30,507	(97,179)
Total equity		3,234,981	3,984,117
Total liabilities and equity		37,537,401	42,694,305
Contingencies and commitments	19		

The annexed notes 1 to 38 form an integral part of these financial statements.

Chairman | **Chief Executive Officer** | **Chief Financial Officer**

AFGHANISTAN INTERNATIONAL BANK
STATEMENT OF COMPREHENSIVE INCOME
AS AT DECEMBER 31, 2025

	Note	2025	2024
		---------- AFN in '000 ----------	
Profit/return earned on Islamic financing, investments and placements - using EPR method	20	718,505	660,091
Profit /return on deposits expensed		(16,844)	(10,591)
Net profit/return		701,661	649,500
Fee and commission income	21	964,721	1,613,975
Fee and commission expense	22	(95,527)	(134,913)
Net fee and commission income		869,194	1,479,062
Income from dealing in foreign currencies		161,711	217,461
		1,732,566	2,346,023
Other income	23	31,547	739
Loss on sale of securities		(189,893)	(16,768)
Credit losses reversal / (expense)	24	184,567	(29,509)
Finance cost on lease liability		(5,716)	(1,345)
General and administrative expenses	25	(1,541,010)	(1,637,163)
		212,061	661,977
Extra ordinary items "Income/Expense"			
Deposits insurance reimbursement		-	974,828
Repayment of interest income on loans and advances		-	(222,152)
		-	752,676
Profit before taxation		212,061	1,414,653
Taxation	26	179,116	(55,551)
Profit for the year		391,177	1,359,102
Other comprehensive income			
Items that may be classified to profit or loss subsequently			
Surplus/ (Deficit) on debt instruments at FVOCI		159,608	(7,607)
Related deferred tax		(31,922)	1,521
Other comprehensive income/(loss), net of tax		127,686	(6,086)
Total comprehensive income for the year		518,864	1,353,016
Earnings per share - Basic and diluted (AFN)		13.04	45.30

The annexed notes 1 to 38 form an integral part of these financial statements.

Chairman **Chief Executive Officer** **Chief Financial Officer**

AFGHANISTAN INTERNATIONAL BANK
STATEMENT OF CASH FLOWS
AS AT DECEMBER 31, 2025

	Note	2025	2024
		---------- AFN in '000 ----------	
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit before income tax		212,061	1,414,653
Adjustments for:			
Depreciation		263,604	269,831
Amortization		114,936	165,691
Finance cost on lease liability		5,716	1,345
Loss on sale of securities		189,893	
Credit losses (reversal) / expense		(184,567)	29,509
		601,643	1,881,029
Changes in operating assets and liabilities			
Required reserve maintained with DAB		520,148	618,512
Cash margin held with other banks		(2,576)	(33)
Islamic financing and related assets - net		149,443	112,068
Other assets		597,098	(902,883)
Deferred income on commercial letter of credit and guarantees		(194)	(1,638)
Customers' deposits		(4,105,172)	(7,070,483)
Other liabilities		(233,431)	273,841
		(2,473,041)	(5,089,587)
Income tax paid		-	-
Net cash flow used in operating activities		(2,473,041)	(5,089,587)
CASH FLOWS FROM INVESTING ACTIVITIES			
Capital work-in-progress		(103,793)	(28,697)
Acquisition of operating fixed assets		(41,582)	(105,562)
Acquisition of intangible assets		(60,643)	(78,771)
Placements / wakala (with maturity more than three months)		(5,027,520)	3,136,921
Investments / sukuk		(818,817)	(1,662,385)
Net cash flow (used in)/from investing activities		(6,052,355)	1,261,506
CASH FLOWS FROM FINANCING ACTIVITIES			
Lease liability repaid		(38,327)	(58,802)
Finance cost paid		(5,148)	(1,345)
Dividend paid		(1,268,000)	(1,233,000)
Net cash used in financing activities		(1,311,475)	(1,293,147)
Net decrease in cash and cash equivalents		(9,836,871)	(5,121,228)
Cash and cash equivalents at January 01		25,935,734	31,056,962
Cash and cash equivalents at December 31	28	16,098,863	25,935,734

The annexed notes 1 to 38 form an integral part of these financial statements.

Chairman **Chief Executive Officer** **Chief Financial Officer**

AFGHANISTAN INTERNATIONAL BANK
STATEMENT OF CHANGES IN EQUITY
AS AT DECEMBER 31, 2025

	Share capital	Revaluation surplus/ (loss) on debt instruments at FVOCI	Capital reserves	Retained earnings	Total
	AFN '000'				
Balance at January 01, 2024	1,465,071	(91,093)	434,088	2,056,034	3,864,101
Total comprehensive income					
Profit for the year	-	-	-	1,359,102	1,359,102
Other comprehensive income, net of tax:					
Debt instruments at FVOCI					
Net change in fair value	-	(7,607)	-	-	(7,607)
Related tax	-	1,521	-	-	1,521
Total comprehensive income	-	(6,086)	-	1,359,102	1,353,016
Transferred to capital reserve	-	-	67,955	(67,955)	-
Transactions with owners of the bank					
Dividend paid	-	-	-	(1,233,000)	(1,233,000)
Balance at December 31, 2024	1,465,071	(97,179)	502,043	2,114,181	3,984,117
Balance at January 01, 2025	1,465,071	(97,179)	502,043	2,114,181	3,984,117
Total comprehensive income					
Profit for the year	-	-	-	391,177	391,177
Other comprehensive income, net of tax:					
Debt instruments at FVOCI					
Net change in fair value	-	159,608	-	-	159,608
Related tax	-	(31,922)	-	-	(31,922)
Total comprehensive income	-	127,686	-	391,177	518,864
Transferred to capital reserve	-	-	19,559	(19,559)	-
Transactions with owners of the bank					
Dividend paid	-	-	-	(1,268,000)	(1,268,000)
Balance at December 31, 2025	1,465,071	30,507	521,602	1,217,801	3,234,982

The annexed notes 1 to 38 form an integral part of these financial statements.

Chairman **Chief Executive Officer** **Chief Financial Officer**

AFGHANISTAN INTERNATIONAL BANK
NOTES TO THE FINANCIAL STATEMENTS
AS AT DECEMBER 31, 2025

1. Status and nature of business

Afghanistan International Bank (the Bank) was registered with Afghan Investment Support Agency (AISA) on 27 December 2003 and received formal commercial banking license on 22 March 2004 from Da Afghanistan Bank (DAB), the central bank of Afghanistan, to operate nationwide. The Bank obtained Islamic banking license from DAB via letter no. 1863/1890 dated 21 July 2014.

The Bank initially was incorporated as a limited liability company and domiciled in Afghanistan, however, on the basis that the bank capital is divided into shares the status of the bank is changed from limited liability to Corporation under the Corporations and Limited Liability Companies Law, this status is effective from May 04, 2016. The principal business place of the Bank is at AIB Head Office, Airport Road, Kabul, Afghanistan.

The Bank has been operating as one of the leading commercial banking service providers in Afghanistan. The Bank has 15 branches and 1 cash outlets (2024: 15 branches and 1 cash outlets) in operation.

2. Basis of preparation and measurement

These financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) issued by the International Accounting Standard Board, the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank and Shariah Requirements. Whenever the requirement of the Law of Banking in Afghanistan differs with the requirements of the IFRS, the requirement of the Law of Banking in Afghanistan and other laws and regulations issued by Da Afghanistan Bank takes precedence.

The Bank provides islamic financing and related assets mainly through wakala, murabaha and investment in sukuk. The income on such financing is recognised in accordance with principles of Islamic Shariah.

These financial statements have been prepared under the historical cost convention except for investments that are stated at fair value through other comprehensive income (FVOCI).

These financial statements comprise statement of financial position, statement of comprehensive income as a single statement, statement of changes in equity, statement of cash flows and the accompanying notes.

The Bank beleives that there is no significant doubt on the company's ability to continue as going concern. Therefore, the financial statements of the Bank continue to be prepared on a going concern basis.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Bank's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 4.

2.1 A number of new standards are effective for annual periods beginning on or after 1 January 2025 and earlier application is permitted; however, the Bank has not early adopted the new or amended standards in preparing these financial statements:

2.2 New accounting standards, amendments and interpretations that are not yet effective

The following standards, amendments and interpretations are only effective for accounting periods, beginning on or after the date mentioned against each of them.

These standards, amendments and interpretations are either not relevant to the Bank's operations or are not expected to have significant impact on the Bank's financial statements other than certain additional disclosures.

Standard or Interpretation	**Effective from accounting period beginning on or after**
Amendments to IFRS 7 'Financial Instruments: Disclosures' - Amendments regarding the classification and measurement of financial instruments	January 1, 2026
Amendments to IFRS 9 'Financial Instruments' - Amendments regarding the classification and measurement of financial instruments	January 1, 2026
Amendments to IFRS 7 'Financial Instruments: Disclosures' - Amendments regarding nature-dependent electricity contracts that are often structured as power purchase agreements (PPAs)	January 1, 2026
Amendments to IFRS 9 'Financial Instruments' - Amendments regarding nature-dependent electricity contracts that are often structured as power purchase agreements (PPAs)	January 1, 2026
Amendmends to IAS 21 'The Effects of Changes in Foreign Exchange Rates' - Amendments regarding translations to a hyperinflationary presentation	January 1, 2027
IFRS 17 Insurance Contracts	January 1, 2027
IFRS 18 Presentation and Disclosures in Financial Statements	January 1, 2027
IFRS 19 Subsidiaries without Public Accountability: Disclosures	January 1, 2027

3. Summary of material accounting policy information

The accounting policies adopted in preparation of this financial statements are consistent with those followed in the preparation of the annual financial statements of the Bank for the year ended 31 December 2024.

3.1 Leases

Leases are recognised as Right-Of-Use (ROU) assets and corresponding liabilities at the date at which the leased assets are available for use by the Bank. The right-of-use assets are depreciated over the lease term on a straight-line basis.

The associated lease liabilities are measured at the present value of the remaining lease payments, discounted using an incremental fund acceptance rate used in determining the discount rate which assumes the profit rate that the Bank would have to pay to borrow over a similar term, the funds necessary to obtain the asset. The weighted average incremental fund acceptance rate applied for the Bank was at 4%.

Each lease payment is allocated between the lease liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of profit on the remaining balance of the liability for each period.

Payments associated with short-term leases are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less.

Incremental fund acceptance rate

The incremental fund acceptance rate is the rate of profit that the Bank would have to pay to accept the funds over a similar term, the funds necessary to obtain an asset of a similar value to the right of use assets in a similar economic environment.

Lessee accounting

The Bank first consider whether a contract is, or contains a lease. A lease is defined as 'a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration'.

To apply this definition, the Bank assesses whether the contract meets three key evaluations which are whether:

- the contract contains an identified asset, which is either explicitly identified in the contract or implicitly specified by being identified at the time the asset is made available

- the Bank have the right to obtain substantially all of the economic benefits from use of the identified asset throughout the period of use, considering its rights within the defined scope of the contract; or

- the Bank have the right to direct the use of the identified asset throughout the period of use.

The Bank assesses whether it has the right to direct 'how and for what purpose' the asset is used throughout the period of use.

Measurement and recognition of leases as a lessee

At lease commencement date, the Bank recognises a right-of-use asset and a lease liability on the statement of financial position. The ROU asset is measured at cost, which is made up of the initial measurement of the lease liability, any initial direct costs incurred by the Bank, an estimate of any costs to dismantle and remove the asset at the end of the lease, and any lease payments made in advance of the lease commencement date (net of any incentives received).

The Bank depreciates the ROU assets on a straight-line basis from the lease commencement date to the earlier of the end of the useful life of the ROU asset or the end of the lease term. The Bank also assesses the ROU asset for impairment when such indicators exist.

At the commencement date, the Bank measures the lease liability at the present value of the lease payments unpaid at that date, discounted using the profit rate implicit in the lease if that rate is readily available or the Bank's incremental fund acceptance rate.

Lease payments included in the measurement of the lease liability are made up of fixed payments (including in substance fixed), variable payments based on an index or rate, amounts expected to be payable under a residual value guarantee and payments arising from options reasonably certain to be exercised.

Subsequent to initial measurement, the liability will be reduced for payments made and increased for profit expense. It is remeasured to reflect any reassessment or modification, or if there are changes in in-substance fixed payments.

When the lease liability is remeasured, the corresponding adjustment is reflected in the ROU asset, or profit and loss if the ROU asset is already reduced to zero.

The Bank have elected to account for short-term leases using the practical expedients. Instead of recognising a ROU asset and lease liability, the payments in relation to these are recognised as an expense in profit or loss on a straight-line basis over the lease term.

3.2 Cash and cash equivalents

For the purpose of the statement of cash flows, cash and cash equivalents comprise balances with less than three months maturity including cash in hand and at ATM, restricted and unrestricted balances with the DAB, balances with banks and placements/wakala.

3.3 Financial instruments

3.3.1 Financial instruments – initial recognition

Date of recognition

Financial assets and liabilities, with the exception of Islamic financing and related customers and balances due to customers, are initially recognized on the trade date, i.e., the date that the Bank

becomes a party to the contractual provisions of the instrument. This includes regular way trades: purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Islamic financing and advances to customers are recognized when funds are transferred to the customers' accounts. Murabaha financing is recognized when the sale contract is concluded and control is transferred to customer. The Bank recognize balances due to customers when funds are transferred to the Bank.

Initial measurement of financial instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at FVPL, transaction costs are added to, or subtracted from, this amount. Trade receivables are measured at the transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the Bank accounts for the Day 1 profit or loss, as

Day 1 profit or loss

When the transaction price of the instrument differs from the fair value at origination and the fair value is based on a valuation technique using only inputs observable in market transactions, the Bank recognizes the difference between the transaction price and fair value in net trading income. In those cases where fair value is based on models for which some of the inputs are not observable, the difference between the transaction price and the fair value is deferred and is only recognized in profit or loss when the inputs become observable, or when the instrument is derecognized.

Measurement categories of financial assets and liabilities

The Bank classifies all of its financial assets based on the business model for managing the assets and the asset's contractual terms, measured at either:

- Amortized cost
- FVOCI
- FVPL

The Bank classifies and measures its trading portfolio at FVPL, the Bank may designate financial instruments at FVPL, if so doing eliminates or significantly reduces measurement or recognition inconsistencies.

Financial liabilities, other than financing commitments and financial guarantees, are measured at amortized cost or at FVPL when they are held for trading and derivative instruments or the fair value designation is applied.

3.3.2 Financial assets and liabilities

Placements/wakala, investments/sukuk with financial institutions and Islamic financing contracts

Placements/wakala, investments/sukuk with financial institutions and Islamic financing contracts comprise of Wakala receivables and Murabaha receivable . Murabaha receivables are stated at amortised cost net of deferred profits and provision for impairment, if any, Wakala receivables are stated at amortised cost less provision for impairment, if any. Investments with financial institutions comprise of investment in sukuk. Investment in Sukuk are stated at amortised cost less provision for impairment, if any, or at fair value through other comprehensive income.

Wakala

A contract between the Bank and a customer whereby one party (the principal: the Muwakkil) appoints the other party (the agent: Wakil) to invest certain funds according to the terms and conditions of the Wakala for a fixed fee in addition to any profit exceeding the expected profit as an incentive for the Wakil for the good performance. Any losses as a result of the misconduct or negligence or violation of the terms and conditions of the Wakala are borne by the Wakil; otherwise, they are borne by the principal. At the end of each defined period (i.e. monthly, quarterly or annually), the customer pays the profit which is subject to adjustment upon actual declaration of wakala business performance by the agent.

Sukuk

Sukuk or "Islamic bonds" refer to investment certificates which evidence a proportionate interest in ownership of tangible assets, or investment in the assets of particular projects or special investment activity that adhere to the principal of Shariah. Sukuk holder has ownership rights in particular assets and is therefore, entitled to the revenue generated by Sukuk asset as well as entitled to share in the proceeds of the realization of that asset. The sukuk holder also share the risk (loss) of the underlying asset.

Murabaha

Murabaha financing is a sale on deferred terms. The Bank arranges a Murabaha transaction by buying a commodity (which represents the object of the Murabaha) and after taking the posession, sells this commodity to a Murabeh (beneficiary) after computing a margin of profit over cost. The sale price (cost plus profit margin) is repaid in instalments by the Murabeh over the agreed period. Income from Murabaha contracts is recognised on a time-apportioned basis over the period of the contract using effective profit rate method.

Due from banks, Islamic financing and related assets, Financial investments at amortized

The Bank measures Due from banks, Islamic financing and related assets and other financial investments at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows.
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and profit (SPPI) on the principal amount outstanding.

The details of these conditions are outlined below:

Business model assessment

The Bank determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Bank's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel.
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed.
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected).
- The expected frequency, value and timing of sales are also important aspects of the Bank's assessment.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realized in a way that is different from the Bank's original expectations, the Bank does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The SPPI test

Second step of its classification process the Bank assesses the contractual terms of financial to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortization of the premium/discount).

The most significant elements of profit within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Bank applies judgment and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the profit rate is set.

In contrast, contractual terms that introduce a more than minimum exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and profit on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

Financial assets or financial liabilities held for trading

The Bank classifies financial assets or financial liabilities as held for trading when they have been

purchased or issued primarily for short-term profit making through trading activities or form part of a portfolio of financial instruments that are managed together, for which there is evidence of a recent pattern of short-term profit taking. Held-for-trading assets and liabilities are recorded and measured in the statement of financial position at fair value. Changes in fair value are recognized in net trading income. profit and dividend income or expense is recorded in net trading income according to the terms of the contract, or when the right to payment has been established.

Included in this classification are investments in sukuk, equities, short positions and financing contracts that have been acquired principally for the purpose of selling or repurchasing in the near term.

Debt instruments at FVOCI

The Bank classifies debt instruments measured at FVOCI when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets
- The contractual terms of the financial asset meet the SPPI test

FVOCI debt instruments are subsequently measured at fair value with gains and losses arising due to changes in fair value recognized in OCI. profit income and foreign exchange gains and losses are recognized in profit or loss in the same manner as for financial assets measured at amortized cost as explained in note. The ECL calculation for Debt instruments at FVOCI is explained in following notes. Where the Bank holds more than one investment in the same security, they are deemed to be disposed of on a first–in first– out basis. On de recognition, cumulative gains or losses previously recognized in OCI are reclassified from OCI to profit or loss.

Equity instruments at FVOCI

Upon initial recognition, the Bank occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of definition of Equity under IAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by- instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognized in profit or loss as other operating income when the right of the payment has been established, except when the Bank benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortized cost. Amortized cost is calculated by taking into account any discount or premium on

issue funds, and costs that are an integral part of the effective profit rate (EPR). A compound financial instrument which contains both a liability and an equity component is separated at the issue date.

Financial assets and financial liabilities at fair value through profit or loss

Financial assets and financial liabilities in this category are those that are not held for trading and have been either designated by management upon initial recognition or are mandatorily required to be measured at fair value under IFRS 9. Management only designates an instrument at FVPL upon initial recognition when one of the following criteria are met. Such designation is determined on an instrument-by-instrument basis:

- The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the assets or liabilities or recognizing gains or losses on them on a different basis; Or

- The liabilities are part of a group of financial liabilities, which are managed and their performance evaluated on a fair value basis, in accordance with a documented risk management or investment strategy; Or

- The liabilities containing one or more embedded derivatives, unless they do not significantly modify the cash flows that would otherwise be required by the contract, or it is clear with little or no analysis when a similar instrument is first considered that separation of the embedded derivative(s) is prohibited.

Financial assets and financial liabilities at FVPL are recorded in the statement of financial position at fair value. Changes in fair value are recorded in profit and loss with the exception of movements in fair value of liabilities designated at FVPL due to changes in the Bank's own credit risk. Such changes in fair value are recorded in the Own credit reserve through OCI and do not get recycled to the profit or loss. profit earned or incurred on instruments designated at FVPL is accrued in profit income or profit expense, respectively, using the EPR, taking into account any discount/ premium and qualifying transaction costs being an integral part of instrument. profit earned on assets mandatorily required to be measured at FVPL is recorded using contractual profit rate. Dividend income from equity instruments measured at FVPL is recorded in profit or loss as other operating income when the right to the payment has been established.

The bank did not have any financial insturments that requires to be classified under FVPL as at 31 December 2025. (31 December 2024: Nil)

3.3.3 Reclassification of financial assets and liabilities

The Bank does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Bank acquires, disposes of, or terminates a business line. Financial liabilities are never reclassified. The Bank did not reclassify any of its financial assets or liabilities in 2025.

3.3.4 Impairment of financial assets

3.3.4.1 Overview of the ECL principles

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12m ECL) as outlined in Note 3.3.4.2). The Bank's policies for determining if there has been a significant increase in credit risk are set out in Note 3.3.4.2.

The 12m ECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or a collective basis depending on the nature of the underlying portfolio of financial instruments.

The Bank has established a policy to perform an assessment at the end of each reporting period of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Bank groups its financing contracts into Stage 1, Stage 2,Stage 3 and POCI, as described below:

- Stage 1: When financing contracts are first recognized, the Bank recognizes an allowance based on 12mECLs.Stage 1 loans also include facilities where the credit risk has improved and the financing contract has been reclassified from Stage 2.

- Stage 2: When a financing contract has shown a significant increase in credit risk since origination, the Bank records an allowance for the LTECLs. Stage 2 financing contracts also include facilities, where the credit risk has improved and the financing contract has been reclassified from Stage 3.

- Stage 3: Financing contract considered credit-impaired (as noted below). The bank records an allowance for the LTECLs.

- POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and profit income is subsequently recognized based on a credit- adjusted EPR. ECLs are only recognized or released to the extent that there is a subsequent change in the expected credit losses.

For financial assets for which the Bank has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) de recognition of the financial asset.

3.3.4.2 The calculation of ECLs

The Bank calculates ECLs based on a four probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EPR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows:

PD The Probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously de recognized and is still in the portfolio. The concept of PDs is further explained in note 30.4.

EAD The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and profit, whether scheduled by contract or otherwise, expected drawdowns on committed facilities, and accrued profit from missed payments. The EAD is further explained in note 30.4.

LGD The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realization of any collateral. It is usually expressed as a percentage of the EAD. The LGD is further explained in note 30.4.

When estimating the ECLs, the Bank considers three scenarios (a base case, an upside, downside ('average base')). When relevant, the assessment of multiple scenarios also incorporates how defaulted financing contracts are expected to be recovered, including the probability that the financing contracts will cure and the value of collateral or the amount that might be received for selling the asset.

With the exception of credit cards and other revolving facilities, for which the treatment is separately set out in Note 2.6.5, the maximum period for which the credit losses are determined is the contractual life of a financial instrument unless the Bank has the legal right to call it earlier.

The mechanics of the ECL method are summarized below:

Stage 1: The 12mECL is calculated as the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Bank calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date.

These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation to the original EPR. This calculation is made for each of the four scenarios, as explained above.

Stage 2: When a financing contract has shown a significant increase in credit risk since origination, the Bank records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected cash shortfalls are discounted by an approximation to the original EPR.

Stage 3: For financing contract considered credit-impaired (as defined in note 31.4.2), the Bank recognizes the lifetime expected credit losses for these financing contracts. The method is similar to that for Stage 2 assets, with the PD set at 100%.

POCI POCI assets are financial assets that are credit impaired on initial recognition. The Bank only recognizes the cumulative changes in lifetime ECLs since initial recognition, based on a probability-weighting of the four scenarios, discounted by the credit- adjusted EPR.

Financing commitments and letters of credit

When estimating LTECLs for undrawn finanicng commitments, the Bank estimates the expected portion of the financing commitment that will be drawn down over its expected life. The ECL is then based on the present value of the expected shortfalls in cash flows if the financing is drawn down, based on a probability-weighting of the three scenarios. The expected cash shortfalls are discounted at an approximation to the expected EPR on the financing contract. For islamic credit cards and revolving facilities that include both a financing and an undrawn commitment, ECLs are calculated and presented together with the loan. For loan commitments and letters of credit, the ECL is recognized within provisions, as disclosed in note 19.2 to the financial statements.

Financial guarantee contracts

The Bank estimates ECLs based on the present value of the expected payments to reimburse the holder for a credit loss that it incurs. The shortfalls are discounted by the risk-adjusted profit rate relevant to the exposure. The calculation is made using a probability-weighting of the three scenarios. The ECLs related to financial guarantee contracts are recognized within provisions, as disclosed in note 19.2 to the financial statements.

3.3.4.3 Debt instruments measured at fair value through OCI

The ECLs for debt instruments measured at FVOCI do not reduce the carrying amount of these financial assets in the statement of financial position, which remains at fair value. Instead, an amount equal to the allowance that would arise if the assets were measured at amortized cost is recognized in OCI as an accumulated impairment amount, with a corresponding charge to profit or loss. The accumulated loss recognized in OCI is recycled to the profit and loss upon de recognition of the assets.

3.3.4.4 Credit cards and other revolving facilities

The Bank's product offering includes a variety of corporate and retail overdraft and credit cards facilities, in which the Bank has the right to cancel and/or reduce the facilities with one day's

notice. The Bank does not limit its exposure to credit losses to the contractual notice period, but, instead calculates ECL over a period that reflects the Bank's expectations of the customer behavior, its likelihood of default and the Bank's future risk mitigation procedures, which could include reducing or cancelling the facilities. Based on past experience and the Bank's expectations, the period over which the Bank calculates ECLs for these products, is one year for corporate and 3 years for retail products.

The ongoing assessment of whether a significant increase in credit risk has occurred for revolving facilities is similar to other lending products. This is based on shifts in the customer's internal credit grade, as explained in Note 31.3 but greater emphasis is also given to qualitative factors such as changes in usage.

The profit rate used to discount the ECLs for credit cards is based on the average effective profit rate that is expected to be charged over the expected period of exposure to the facilities. This estimation takes into account that many facilities are repaid in full each month and are consequently charged no profit.

The calculation of ECLs, including the estimation of the expected period of exposure and discount rate is made, on an individual basis for corporate and on a collective basis for retail products. The collective assessments are made separately for portfolios of facilities with similar credit risk characteristics.

3.3.4.5 Forward looking information

In its ECL models, the Bank relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rates
- Consumer price indices

3.3.5 Impairment provision under local regulations

Islamic financing and related asset

The outstanding principal of the advances are classified in accordance with the Asset Classification and Provisioning Regulation issued by DAB as follows:

i) Standard: These are financing contracts and advances, which are paying in a current manner or at most past due for the period of 1-30 days, fully secured and is supported by sound net worth, profitability, liquidity and cash flow of the obligor. Standard assets are sufficiently secured with respect to the repayment of both the principal amount and profit. An overdraft would be regarded as Standard if monthly profit payments and other charges are past due for 1- 30 days, and there was regular activity on the account with no sign of a hard core of debt developing. A standard provision is maintained in the books of account @1% (31 December 2024: 1%) of value of such financing contracts and advances.

ii) Watch: These are financing contracts and advances which are adequately protected, but are potentially weak. Such an asset constitutes an unwarranted credit risk, but not to the point of requiring a classification of Substandard. The default risk may be minor, and most instances, bank management can correct the noted deficiencies with increased attention. Further, all financing contracts and advances which are past due by 31 to 60 days for principal or profit payments are classified as Watch. A provision is maintained in the books of account not less than 5% of value of such financing amount and advances.

iii) **Substandard:** These are financing contracts and advances which show clear manifestations of credit weaknesses that jeopardize the liquidation of the debt. Substandard financing contracts and advances include financing to borrowers whose cash flows are not sufficient to meet currently maturing debts, financing to borrowers which are significantly undercapitalized, and financing to borrowers lacking sufficient working capital to meet their operating needs.

Further, all financing contracts and advances which are past due by 61 to 120 days for principal or profit payments are also classified as Substandard. A provision is maintained in the books of account not less than 25% of value of such contracts and advances.

iv) Doubtful: These are financing contracts and advances which display all the weaknesses inherent in loans and advances classified as Substandard but with the added characteristics that they are not well secured and the weaknesses make collection or liquidation in full, on the basis of currently available information, highly questionable and improbable. The possibility of loss is extremely high, but because of certain mitigating circumstances, which may work to the advantage and strengthening of the facility, its classification as an estimated loss is postponed until its more defined status is ascertained. Further all loans and advances which are past due by 121 to 480 days for principal or profit payments are also classified as Doubtful. A provision is maintained in the books of account not less than 50% of value of such loans and advances.

v) Loss: These are financing contracts and advances which are considered uncollectible and of such little value that their continuation as recoverable facilities is not defensible. This classification does not imply that the facility has absolutely no recoverable value, but rather it is not practical or desirable to defer making full provisions for the facility even though partial recover in future may not be entirely ruled out. Loans and advances classified as Loss include those to bankrupt companies and insolvent firms with negative working capital and cash flow or those to judgment debtors with no means or foreclosable collateral to settle the debts. Further, all loans and advances which are past due over 481 days for principal and profit payments are classified as Loss. This category of loans shall be retained in bank balance sheet for the period of 6 month for recovery purposes and 100% loan loss provisioning should be made. After 6 months, they shall be immediately written off with the provisioning made.

The bank has also determine provision for expected credit losses under IFRS 9 which results higher than provision under Asset Classification Provisioning Regulation, accordingly higher provisions were in cooperated in the financial statements as disclosed in note 9.5 to the financial statements.

Investments/sukuk, placements/wakala and other assets

The bank has policy of maintaining general provision on placements/wakala and investments/sukuk based on the credit rating, falling in category A (0%), B (0.50%) and C (1%), entity also determine provision for expected credit losses under IFRS 9, the financial statements are in cooperated with higher provision impact resulting from the mentioned methods, as disclosed in notes 7.2 & 8.3 to the financial statements.

Off-balance sheet item

General provision of 1% is maintained on bank guarantees and letter of credits on unsecured portion by cash margin as required in Asset Classification and Provisioning Regulation issued by DAB, however, entity also determine provision for expected credit losses on off-balance sheet items under IFRS 9, the financial statements are in cooperated with higher provision impact resulting from the mentioned methods, as disclosed in note 19 to the financial statements.

3.4 Financial liabilities

The Bank classifies its financial liabilities in following categories.

a) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss are financial liabilities held for trading. A financial liability is classified in this category if incurred principally for the purpose of trading or payment in the short term. Derivatives (if any) are also categorized as held for trading unless they are designated as hedges.

b) Other financial liabilities measured at amortized cost

These are non-derivatives financial liabilities with fixed or determinable payments that are not quoted in an active market. These are recognized initially at fair value, net of transaction costs incurred and are subsequently stated at amortized cost; any differences between the proceeds (net of transaction costs) and the redemption value is recognized in the income statement.

3.5 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Bank has access at the date. The fair value of a liability reflects its non-performance risk.

When available, the Bank measures the fair value of an instrument using the quoted price in an active market for that instrument. A market is regarded as active if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If there is no quoted price in an active market, then the Bank uses valuation techniques that maximizes the use of relevant observable inputs and minimize the use of unobservable all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument at initial recognition is normally the transaction price - i.e. the fair value of the consideration given or received. If the Bank determines that the fair value at initial recognition differs from the transaction price and the fair value is evidenced neither by a quoted price in an active market for an identical asset or liability nor based on a valuation technique that uses only data from observable markets, the financial instrument is initially measured at fair value, adjusted to defer the difference between the fair value at initial recognition and the transaction price. Subsequently, that difference is recognized in profit and loss in an appropriate basis over the life of the instrument but no later than when valuation is wholly supported by observable market data or transaction is closed out.

If an asset or a liability measured at fair value has a bid price and an ask price, then the Bank measures assets and long positions at a bid price and liabilities and short position at an ask price.

Portfolio of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Bank on the basis of the net exposure to either market risk or credit risk or measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for a particular risk exposure. Those portfolio-level adjustments are allocated to the individual assets and liabilities on the basis of the relative risk adjustment of each of the individual instruments in the portfolio.

The Bank recognizes transfer between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

3.6 Operating fixed assets

These are stated at historical cost less accumulated depreciation and impairment, if any, except for land and capital work in progress which is stated at cost less impairment, if any. Historical cost includes expenditure that is directly attributable to the acquisition of the asset.

Subsequent cost are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Bank and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized in statement of comprehensive income during the financial period in which they are incurred.

Depreciation is calculated using the straight-line method to allocate the depreciable amount of the assets over their estimated useful life as follows:

Building	20 years
Right of Use Assets	1 to 8 years
Leasehold improvements	3 to 10 years
Computers	3 to 5 years
Office equipment	3 to 5 years
Furniture and fittings	3 to 10 years
ATMs	5 years
Vehicles	5 years

Depreciation is charged on additions during the year from the month they become available for their intended use while no depreciation is charged in the month of disposal of assets. The residual values, useful lives and depreciation method are reviewed and adjusted, if appropriate, at each statement of financial position date.

Gains and losses on disposal of property and equipment are determined by comparing proceeds with the carrying amount. These are included in other income in the statement of comprehensive income.

3.7 Intangible assets

Intangible assets are capitalized only to the extent that the future economic benefits can be derived by the Bank having useful life of more than one year. Intangible assets are stated at cost less accumulated amortization. Amortization is charged to income applying the straight line method.

i) Core banking system

The core banking system is capitalized resulting from the acquisition of deposit base of Standard Chartered Bank (SCB) Afghanistan operations during 2012 which is amortized over the useful life of 15 years.

ii) Computer software

Acquired computer software is capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortized over their estimated useful life of 3 to 10 years.

iii) License fee

Acquired trademarks and licenses are initially recognized at historical cost and subsequently recognized at cost less accumulated amortization. Amortization is calculated using the straight-line method to allocate the cost of the licenses over their estimated useful life.

The useful lives of intangibles are reviewed and adjusted, if appropriate, at each statement of financial position date.

3.8 Impairment of non-financial assets

Non-financial assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment. Non-financial assets that are subject to depreciation/ amortization are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss or reversal of impairment loss is recognized in the statement of comprehensive income. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units).

Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. Reversal of the impairment losses is restricted to the original cost of the assets.

3.9 Taxation

Current

The current income tax charge is calculated in accordance with Income Tax Law, 2009. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are generally recognized for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized. Such deferred tax assets and liabilities are not recognized if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

3.10 Revenue recognition

a) Profit income and expenses for all profit-bearing financial instruments, except for those classified as held for trading or designated at fair value through profit or loss, are recognized within `profit income' and `profit expense' in the statement of comprehensive income using the effective profit rate method.

The effective profit method is a method of calculating the amortized cost of a financial asset or a financial liability and of allocating the profit income or profit expense over the relevant period. The effective profit rate is the rate that exactly discounts estimated

future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability. When calculating the effective profit rate, the Bank estimates cash flows considering all contractual terms of the financial instrument but does not consider future credit losses.

b) Due but unpaid profit income is accrued on overdue advances for periods up to 90 days in compliance with the Banking regulations issued by DAB. After 90 days, overdue advances are classified as non-performing and further accrual of unpaid profit income ceases.

c) Gains and losses on disposal of property and equipment are recognized in the period in which disposal is made.

d) Fees and commission income and expense are recognized on an accrual basis when the service has been provided/received.

e) Fee and commission income that are integral part to the effective profit rate on financial assets and liability are included in the measurement of effective profit rate. Other fee and commission expenses related mainly to the transactions are services fee, which are expensed as the services are received.

3.11 Foreign currency transactions and translation

a) Functional and presentation currency

Items included in the financial statements of the Bank are measured using the currency of the primary economic environment in which the entity operates (the functional currency), which is Afghani (AFN). All amounts have been rounded to the nearest thousands, except when otherwise indicated.

3.12 Transactions and balances

Foreign currency transactions are translated into functional currency using the exchange rate prevailing at the date of the transaction. Foreign currency assets and liabilities are translated using the exchange rate at the balance sheet date. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at period-end exchange rates of assets and liabilities denominated in foreign currencies are recognized in income currently.

The exchange rate for following currencies against AFN were:

	1 USD	1 EURO
As at 31 December 2024	70.45	73.79
As at 31 December 2025	66.07	76.75

3.13 Provisions

Provisions are recognized when there are present, legal or constructive obligations as a result of past events; it is probable that an out flow of resources embodying economic benefits will be required to settle the obligation; and a reliable estimate of the amounts can be made. Provision for guarantee claims and other off balance sheet obligations is recognized when intimated and reasonable certainty exists to settle the obligations.

3.14 Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the financial statements when there is a legally enforceable right to offset the recognized amounts and the Bank intends to settle either on a net basis or realize the assets and settle the liabilities simultaneously.

3.15 Dividend Distribution

Final dividend distributions to the bank's shareholders are recognized as a liability in the financial statements in the period in which the dividends are approved by the Bank's shareholders at the Annual General Meeting while interim dividend are recognized in the period in which the dividends are declared by the Board of Supervisors.

3.16 Earnings per share

The Bank presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to shareholders of the Bank by the weighted- average number of shares outstanding during the year.

3.17 Employee benefits

Defined contribution plan

Obligations for contributions to defined contribution plans are expensed as the related service is provided and recognized as personnel expenses (salaries and benefits) in profit or loss. Prepaid contributions are recognized as an asset to the extent that a cash refund or a reduction in future payments is available.

Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

4. Use of critical accounting estimates and judgments

The Bank makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated based on historical experience and other factors, including expectations of future events that are believed

to be reasonable under the circumstances. The resulting accounting estimates and judgments will, by definition, rarely equal the related actual results. The material estimates, assumptions and judgments used to measure and classify the carrying amounts of assets and liabilities are outlined below:

a) Impairment losses on financial assets

The banks accounting framework considers both the provision prescribed under local regulations in Afghanistan and IFRS 9. Therefore, the Bank's level of provision for impairment against financial asset considers the requirements of both regimes.

The measurement of impairment losses under IFRS 9across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes in which can result in different levels of allowances.

The Bank's ECL calculations are outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements of the ECL models that are considered accounting

- The Bank's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a LTECL basis and the qualitative assessment;

- The Bank's internal credit grading model.

- The segmentation of financial assets when their ECL is assessed on a collective basis.

- Development of ECL models, including the various formulas and the choice of inputs to such models.

- Determination of associations between macroeconomic scenarios and, economic inputs, such as GDP growth

- Selection of forward-looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models

It has been the Bank's policy to regularly review its models in the context of actual loss experience and adjust when necessary.

The Bank reviews financing contracts with customer balances quarterly for possible impairment and records the provision for possible losses as per the Bank's policy and in accordance with DAB regulations.

b) Provision of income taxes

The Bank recognizes tax liability in accordance with the provisions of Income Tax Law 2009. The final tax liability is dependent on assessment by Ministry of Finance, Government of Islamic Republic of Afghanistan.

c) Useful life of property and equipment and intangible assets

The Bank reviews the useful life, depreciation method and residual value of property and equipment and intangible assets at each statement of financial position date. Any change in estimates may affect the carrying amounts of the respective items of property and equipment and intangible assets with a corresponding effect on the depreciation / amortization charge.

5 Cash and balances with Da Afghanistan Bank	Note	2025	2024
		---------- AFN in '000 ----------	
Cash in hand	5.1	6,915,478	12,690,592
Cash at Automated Teller Machines (ATMs)		131,914	139,034
		7,047,392	12,829,626
Balances with Da Afghanistan Bank:			
Local currency:			
- Required reserve accounts	5.2	362,209	455,202
- Current accounts		859,214	2,621,851
		1,221,423	3,077,053
Foreign currency:			
- Required reserve accounts	5.2	2,622,674	3,049,829
- Current accounts		306,668	510,639
		2,929,342	3,560,468
		11,198,157	19,467,147

5.1 Cash in hand local currency amount of AFN 3,268,556 thousands and foreign currencies: USD amount equivalent to AFN 3,640,695 thousands and EUR 1,023 balance (December 31, 2024: local currency amount of AFN 309,066 thousands and foreign currencies: USD amount equivalent to AFN 9,612,820 thousands and EUR 325 thousands).

5.2 Required reserves are maintained with DAB, denominated in respective currencies, to meet minimum reserve requirement in accordance with Article 3 "Required Reserves Regulation" of the Banking Regulations issued by DAB.

6 Balances with other banks	Note	2025	2024
		---------- AFN in '000 ----------	
With Crown Agents Bank	6.1	1,515,110	2,078,519
With other banks		3,165,191	2,717,368
		4,680,301	4,795,887

7 Placements / wakala - net	Note	2025	2024
		---------- AFN in '000 ----------	
Placements / wakala with banks	7.1	10,219,605	7,165,686
Impairment allowances for losses	7.2	-	(435)
		10,219,605	7,165,251

7.1 This represents Al-wakala deposits with Emirates NBD (Wakala), Citibank and Abu Dhabi commercial bank (Wakala), up to a maximum period of ten years (2024: Ten year) and carry profits at rates ranging from 3.4% to 5.15% (December 31, 2024: 3.5% to 5.20%) per annum.

7.2 The table below shows the credit quality and the maximum exposure to credit risk for categories based on the Bank's credit rating grades and year-end stage classification as at December 31, 2025 and 2024, respectively. The amounts presented are gross of impairment allowances. Details of the Bank's rating grades are explained in note 30.7.

	December 31, 2025				
	Stage 1 Collective	Stage 2 Collective	Stage 3 Collective	Total	December 31, 2024
	AFN '000'	AFN '000'	AFN '000'	AFN '000'	AFN '000'
Rating					
Performing					
Investment Grade	10,219,605	-	-	10,219,605	7,165,686
Non-Investment Grade	-	-	-	-	-
Non-performing	-	-	-	-	-
Total	10,219,605	-	-	10,219,605	7,165,686
Provision for expected credit losses	-	-	-	-	(435)
Provision for impairment losses as per ACPR - (note 7.2.2)	-	-	-	-	-
Total	-	-	-	-	(435)
Net balance	10,219,605	-	-	10,219,605	7,165,251

The provision for expected credit losses on placements as per IFRS 9 amounted to AFN Nil thousands (December 31, 2024: AFN 435 thousands) which is same from the one resulting from Assets Classification and Provisioning Regulation requirements (ACPR).

8	**Investments / sukuk - net**	Note	2025	2024
			---------- AFN in '000 ----------	
	Investments / sukuk at fair value through OCI:			
	- Investment in sukuk	8.1	5,402,561	564,504
	- Investment in bonds		-	1,699,099
			5,402,561	2,263,603
	Invstments / sukuk at amortised cost:			
	- Investment in sukuk	8.2	1,953,168	2,379,730
	- Investment in bonds		-	2,026,501
			1,953,168	4,406,231
			7,355,729	6,669,834
	Allowance for ECL / impairment losses	8.3	-	(5,236)
			7,355,729	6,664,598

8.1 This represent investment in sukuk having maturity ranging from October 2029 to Apr 2035 (December 31, 2024: October 2029 to June 2034) and carrying profit rate ranging from 2.1% to 5.3% (December 31 2024: 2.1% to 5.3%) per annum. This investment are managed by Emirates NBD on behalf of the bank.

8.2 This represent investment in sukuk having maturity ranging from Sep 2030 to May 2033 (December 31, 2024: April 2025 to May 2033) and carrying profit rates ranging from 2.3% to 4.5% (December 31, 2024: 1% to 4.8%) per annum. These investment are managed by Emirates NBD on behalf of the bank.

8.3 Impairment allowance for investments / sukuk

The table below shows the credit quality and the maximum exposure to credit risk for categories based on the Bank's credit rating grades and year-end stage classification as at December 31, 2025 and 2024, respectively. The amounts presented are gross of impairment allowances. Details of the Bank's rating grades are explained in note 30.7.

	December 31, 2025				
	Stage 1 Collective	Stage 2 Collective	Stage 3 Collective	Total	December 31, 2024
Rating	AFN '000'				
Performing					
Investment grade	1,953,168	-	-	1,953,168	6,767,013
Non-Investment grade	-		-	-	-
Non-performing	-	-	-	-	-
Total	1,953,168	-	-	1,953,168	6,767,013
Provision for expected credit losses	-		-	-	(5,236)
Provision for Impairment losses as per ACPR	-		-	-	(4,482)
Total	-	-	-	-	(9,718)
Mark to market adjustment on investments / sukuk at fair value through OCI	-		-	-	(97,179)
Net balance	1,953,168	-	-	1,953,168	6,664,598

The provision for expected credit losses on investments / sukuk as per IFRS 9 amount to AFN Nil thousands (December 31, 2024: AFN 5,236 thousands).

9 Islamic financing and related assets - net	Note	2025	2024
		AFN in '000	
Islamic financing			
Wakala financing	9.1	172,970	-
Murabaha financing	9.2	89,953	-
Other Islamic financing		6,100	-
Overdrafts	9.3	53,197	388,307
Term loans		-	77,927
Consumer loans		3,366	8,795
		325,586	475,029
General provision		(2,881)	(246,576)
Allowance for ECL / impairment losses	9.4	(53,397)	(90,834)
		269,308	137,619

Particulars of loans and advances - (gross)

Short term (for up to one year)	7,968	466,859
Non-current (for over one year)	317,618	8,170
	325,586	475,029

9.1 This represents Wakala financing to corporate customers at various profit rates ranging from 5.00% to 12.00% p.a. (December 31, 2024: 5.00% to 12.00%) per annum and are secured against mortgage of properties, personal guarantees and pledge of stocks.

9.2 This represents Murabaha financing provided to both corporate and individual customers, primarily for purchasing vehicles and other assets. This financing is offered at varying profit rates and is secured through property mortgages, personal guarantees, and stock pledges.

9.3 These include overdraft facilities and payroll loans provided to both corporate and individual customers carrying profit rate of 6% to 7% (December 31, 2024: 6% to 7%) p.a.

9.4 Allowance for ECL / Impairment allowance for islamic financing to customers

The table below shows the credit quality and the maximum exposure to credit risk for categories based on the Bank's credit rating grades and year-end stage classification as at December 31, 2025 and 2024, respectively. The amounts presented are gross of impairment allowances. Details of the Bank's rating grades are explained in note 30.7.

	December 31, 2025				December 31,
	Stage 1	Stage 2	Stage 3	Total	2024
	AFN '000'				
Gross financing portfolio					
Internal Rating Grade					
Performing					
High grade	94,063	-	-	94,063	83,331
Standard grade	-	5,357	-	5,357	151,835
Sub standard grade	-	172,970	-	172,970	164,324
Non-performing	-	-	53,196	53,196	75,539
Total	94,063	178,327	53,196	325,586	475,029
Allowance for ECL / impairment losses					
Opening balance	40	2,851	(35,939)	(33,048)	57,738
Allowances for impairment made during the year	5	(1,793)	89,136	87,348	(90,834)
Amounts written off during the year	-	-	-	-	-
Exchange rate differences and other adjustments	-	-	-	-	47
Provision held for expected credit losses	45	1,058	53,197	54,300	(33,049)
Net balance	94,018	177,269	(1)	271,286	441,980

The Bank has filed suits for the recovery of loans and advances (principal due) against the defaulted borrowers amounting to AFN 19,143 thousands (December 31, 2024: AFN 727 thousands) as at the year end. These suits are pending decisions at various courts. The Bank's management is of the view that the aforementioned suits will be decided in its favor due to sound legal footings.

IFRS 9 expected credit loss amounts to AFN 54,300 thousands as at December 31, 2025. The provision as per ACPR amounts to AFN 56,278 thousand made under Assets Classification and Provisioning Regulation (ACPR), therefore, the Bank has maintained the higher provision under the requirements of DAB Regulation.

	Note	2025	2024
		---------- AFN in '000 ----------	
10 Operating fixed assets			
Capital work-in-progress	10.1	103,507	31,780
Property and equipment	10.2	2,291,577	2,481,532
		2,395,084	2,513,312
10.1 Capital work-in-progress			
Advances to suppliers and contractors		103,507	31,780
		103,507	31,780
Movement in capital work in progress			
Opening		31,780	16,865
Additions during the year		103,793	28,697
Transferred to operating fixed assets		(32,066)	(13,782)
Transferred to intangible assets		-	-
Adjustments/write-offs		-	-
Closing		103,507	31,780

10.2 Property and equipment

	Land	Building	Leased buildings - Right of Use Assets	Other office machines and equipments	Computers	Furniture & fittings	Vehicles	Total
	AFN '000							
Cost								
Balance at January 01, 2024	177,568	2,838,189	437,885	213,159	3,246	57,408	8,208	3,735,663
Transfers from CWIP	-	-	-	-	13,782	-	-	13,782
Additions	-	-	-	91,780	-	-	-	91,780
Balance at December 31, 2024	177,568	2,838,189	437,885	304,939	17,027	57,409	8,208	3,841,225
Balance at January 01, 2025	177,568	2,838,189	437,885	304,939	17,027	57,409	8,208	3,841,225
Transfers from CWIP	-	-	-	32,066	-	-	-	32,066
Additions	-	-	445	16,097	25,040	-	-	41,582
Balance at December 31, 2025	177,568	2,838,189	438,330	353,102	42,067	57,409	8,208	3,914,873
Depreciation								
Balance at January 01, 2024	-	728,824	170,144	153,416	3,246	30,893	3,239	1,089,762
Charge for the year	-	148,861	58,764	51,785	2,818	6,280	1,423	269,931
Balance at December 31, 2024	-	877,684	228,908	205,201	6,064	37,173	4,662	1,359,693
Balance at January 01, 2025	-	877,684	228,908	205,201	6,064	37,173	4,662	1,359,692
Charge for the year	-	134,200	58,808	54,452	8,950	6,243	951	263,604
Balance at December 31, 2025	-	1,011,884	287,716	259,653	15,014	43,416	5,613	1,623,296
	-							
Carrying amounts								
Balance at December 31, 2024	177,568	1,960,505	208,977	99,738	10,963	20,236	3,546	2,481,532
Balance at December 31, 2025	177,568	1,826,305	150,614	93,449	27,052	13,993	2,595	2,291,577
Useful life		20 years	1 to 8 years	3 to 10 years	3 to 5 years	3 to 10 years	5 years	

10.3 Property and equipment includes assets costing AFN 233 million which are fully depreciated.

11 Intangible assets

	2025	2024
	AFN in '000	
Computer software, licenses and core banking system	215,293	269,585

	Computer software	License fee	Core Banking System	Total
	AFN '000			
Cost				
Balance at January 01, 2024	269,134	153,321	542,677	965,132
Additions	6,907	71,864	-	78,771
Balance at December 31, 2024	276,041	225,185	542,677	1,043,903
Balance at January 01, 2025	276,041	225,185	542,677	1,043,903
Additions	2,161	58,482	-	60,643
Balance at December 31, 2025	278,202	283,667	542,677	1,104,546
Amortization				
Balance at January 01, 2024	111,665	86,735	410,228	608,628
Charge for the year	40,685	88,809	36,196	165,690
Balance at December 31, 2024	152,350	175,544	446,424	774,318
Balance at January 01, 2025	152,350	175,544	446,424	774,318
Charge for the year	39,517	39,221	36,197	114,935
Balance at December 31, 2025	191,867	214,765	482,621	889,253
Carrying amounts				
Balance at December 31, 2024	123,691	49,641	96,253	269,585
Balance at December 31, 2025	86,335	68,902	60,056	215,293
Useful life	3 to 10 years	3 to 10 years	15 years	

12 Deferred tax

	Note	2025	2024
		AFN in '000	
Deferred tax assets / (liabilities) arising in respect of:			
Provision on investments/sukuk, placements/wakala, islamic financing and other		590	1,728
Provision on guarantees and commercial letter of credits		47,023	50,140
Surplus on revaluation of investments		(17,204)	14,718
Carry forward taxable losses		452,068	280,872
Accelerated tax depreciation and amortization		(362,360)	(374,535)
	12.1	120,117	(27,077)

12.1 Movement in temporary differences during the year

	Balance at January 01, 2024	Recognized in profit or loss	Recognized in equity	Balance at December 31, 2024	Recognized in profit or loss	Recognized in equity	Balance at December 31, 2025
	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000
Deferred tax assets arising in respect of:							
Provision on investments / sukuk, placements/wakala and other assets	2,963	(1,235)	-	1,728	(1,138)	-	590
Provision on guarantees and commercial letter of credits	51,321	(1,181)	-	50,140	(3,117)	-	47,023
Carry forward taxable losses	341,669	(60,797)	-	280,872	171,196	-	452,068
	395,953	(63,213)	-	332,740	166,941	-	499,681
Deferred tax liabilities arising in respect of:							
Revaluation reserve on investments/sukuk	13,197	-	1,521	14,718	-	(31,922)	(17,204)
Accelerated tax depreciation and amortization	(382,197)	7,662	-	(374,535)	12,175	-	(362,360)
	(369,000)	7,662	1,521	(359,817)	12,175	(31,922)	(379,564)
	26,953	(55,551)	1,521	(27,077)	179,116	(31,922)	120,117

13 Other assets	Note	2025	2024
		---------- AFN in '000 ----------	
Advances to employees		55,174	23,919
Security deposits		201	214
Advances and prepayments		77,082	167,064
Profit receivable		277,054	300,489
Advance income tax - net		22,653	22,653
Deposits insurance reimbursement		128,783	974,828
Receivable from CSC & Other receivable and advances		525,812	195,144
		1,086,759	1,684,311
Allowance for ECL / impairment losses		(2,952)	(3,406)
		1,083,807	1,680,905

		Note	2025	2024
			---------- AFN in '000 ----------	
14	**Customers' deposits**			
	Local currency:			
	Current deposits		-	2,182,589
	Saving deposits		-	50,597
	Islamic deposits		-	4,173,622
	Qard based deposits	14.1	4,768,094	-
	Mudaraba based deposits	14.2	224,789	-
			4,992,883	6,406,808
	Foreign currency:			
	Current deposits		-	10,160,271
	Islamic deposits		-	20,701,751
	Cash margin held against bank guarantees and letters of credit	14.3	10,898	587,055
	Qard based deposits	14.1	26,674,881	-
	Mudaraba based deposits	14.2	2,072,051	-
			28,757,830	31,449,077
	Total customers' deposits		33,750,713	37,855,885

14.1 This represents qard deposits, formerly called current accounts. In qard deposits the depositor lends money to the bank, which assures the full principal amount will be repaid upon request. The bank can use these funds for business activities but is not required to pay any profit or return to the depositor.

14.2 These customer deposits are designed specifically to meet the requirements of customers who authorize the Bank to invest their cash deposits. Customers can deposit or withdraw money at any time they wish, and can earn profits on their savings.

14.3 This represents cash margin held on the bank gurantees and letter of credit issued by the bank ranging 100% to 110%.

		Note	2025	2024
			---------- AFN in '000 ----------	
15	**Lease liabilities**			
	Opening balance		115,432	172,620
	Lease rentals paid		(38,327)	(58,802)
	Finance cost for the year		(5,148)	269
	Finance cost paid		1,580	1,345
		15.1	73,538	115,432

15.1 Lease liabilities represent the amounts payable relating to the right-of-use assets recognized on account of branches under operating leases.

	Note	2025	2024
		---------- AFN in '000 ----------	
16 Other liabilities			
Accruals and other payables	16.1	54,255	32,326
Pending outward remittances	16.2	5,117	3,031
Provision for salaries and allowances		20,512	53,879
Witholding taxes payable to MoF		300	300
Others	16.3	74,281	149,047
Repayment of interest income on loans and advances		88,425	222,152
Provision on Financial guarantees	16.4	235,113	250,699
		478,003	711,434

16.1 This includes amount payable of AFN 20.5 million to the customers as a result of their account closure due to compliance issues.

16.2 This includes pending outward remittances of the customers amounting to AFN 5,117 thousands due to uncompleted remittances process (December 31, 2024: 3,031 thousand).

16.3 This includes amount payables to Afpay and CSC against credit/debit card charges.

16.4 This represents 100% provision on unsecured portion of bank guarantees, not backed by cash margin, as required in Asset Classification and Provisioning Regulation issued by DAB, however, IFRS 9 provision for expected credit loss computed on unfunded financing facilities amounts to AFN 235,113 thousand (December 31, 2024: AFN 250,699 thousand). The reduction during the year is mainly due to foreign currency exchange.

	2025	2024
17 Share capital	---------- AFN in '000 ----------	
Authorized 50,000,000 (2024: 50,000,000) ordinary shares	3,426,493	3,426,493
Issued, subscribed and paid-up - 30,000,000 (2024: 30,000,000) ordinary shares of AFN 48.84 each fully paid in cash	1,465,071	1,465,071

17.1 Pursuant to letter no.918/703 dated May 17, 2010 issued by Da Afghanistan Bank (DAB), the Bank complies with the minimum paid-up capital requirement for commercial banks in Afghanistan amounting to AFN 1 billion or US $ 20 million.

17.2 Horizon Associates LLC and Wilton Holding Limited each holds 46.25% of issued, subscribed and paid up capital while remaining 7.5% is held by International Finance Corporation which is same as per previous year.

18 Capital reserves

Article 93 Reserve Capital of Corporations and Limited Liability Companies Law of Afghanistan, requires that Bank should transfer 5% of its profit to Capital Reserve to compensate for future possible losses to the extent such capital reserves reach up to 25% of the Bank's capital. The Bank's capital reserves as at December 31, 2025 stood at AFN 526,235 thousands (December 31, 2024: AFN 502,043 thousands).

	Note	2025	2024
		---------- AFN in '000 ----------	
19 Contingencies and commitments			
Contingencies			
Financial guarantees	19.1	102,972	42,967

19.1 These represent bid bonds and performance guarantees issued by the Bank in the normal course of business. These are 100% secured against the cash margin and counter guarantees.

19.2 The Bank is also facing certain litigations on which no provision is required as per the opinion of legal advisor.

Commitments

Undrawn financing amount and overdraft facilities	162,775	150,797
	162,775	150,797

		Note	2025	2024
20	**Profit/Return earned on Islamic financing, investments and placements - using EPR method**		---------- AFN in '000 ----------	
	Profit / return earned on:			
	Balances with DAB and other banks		90,919	97,440
	Placements / wakala	7.1	330,223	362,364
	Investments / sukuk at FVOCI	8.1	160,383	46,057
	Investments / sukuk at amortized cost	8.2	113,543	128,144
	Islamic financing and related assets	9	23,437	26,086
			718,505	660,091
21	**Fee and commission income**			
	Trade finance products BG & LC		326	4,981
	Income from domestics/international inward/outward remittances		383,185	469,950
	Customers' account service charges		28,611	44,797
	Income from electronic banking		56,924	65,173
	Income from guarantee arrangements		724	17,987
	Income from payroll disbursement services		38,255	43,170
	Cash management income		328,621	877,710
	Others		128,075	90,207
			964,721	1,613,975
22	**Fee and commission expense**			
	Expenses from electronic banking		9,898	67,882
	Money service providers charges		55,227	40,740
	Asset management fee to investment advisors		12,108	11,916
	Bank charges		18,294	14,375
			95,527	134,913
23	**Other income**			
	Loans and advances recovered previously written off		19,144	727
	Other income		12,403	12
			31,547	739

24 Credit losses (reversal) / expense

The table below shows the ECL charges on financial instruments for the year recorded in the income statement:

		December 31, 2025					
	Note	Stage 1 Collective AFN '000'	Stage 2 Collective AFN '000'	Stage 3 Collective AFN '000'	Regulatory AFN '000'	Total AFN '000'	December 31, 2024
Placements/wakala	7.2	-	-	-	(5,604)	(5,604)	(6,380)
Investments/sukuk	8.3	-	-	-	-	-	435

Islamic financing	9.4	-	-	-	40,577	40,577	39,197
General provision	9.4	-	-	-	(219,275)	(219,275)	-
Other assets	13	-	-	-	(265)	(265)	1,541
Financial guarantees	16.4	-	-	-	-	-	(5,284)
Letter of credit		-	-	-	-	-	-
Total (reversal) on impairment / loss for the year		-	-	-	(184,567)	(184,567)	29,509

25	**General and administrative expenses**	**Note**	**2025**	**2024**
			---------- AFN in '000 ----------	
	Salaries, bonus & other benefits		449,145	478,527
	Head office building support services	25.1	29,009	30,168
	Electricity, generator and fuel		61,486	56,612
	Repairs and maintenance		56,593	50,103
	Information technology cost		82,493	114,659
	Security cost		46,196	47,336
	Depreciation	10.2	263,604	269,831
	Amortization	11	114,936	165,691
	Directors fee and their meeting expenses		37,516	36,589
	Travelling and accommodation		48,570	31,728
	Communication, swift and internet		28,369	27,948
	Stationery and printing		17,727	48,053
	Legal and professional charges		126,597	90,747
	Auditors' remuneration		9,211	12,773
	Marketing and promotion		26,974	18,154
	Insurance		48,402	81,695
	Subscriptions and memberships		6,925	3,223
	ATM expenses		59,339	-
	Corporate social responsibility		4,530	12,678
	Others		23,388	60,648
			1,541,010	1,637,163

25 This includes expense related to short term lease (less than 12 months) which have not been accounted for in the lease model of IFRS 16 and recognized in expense on straight line basis.

26	**Taxation**	**Note**	**2025**	**2024**
			---------- AFN in '000 ----------	
	Current:			
	For the year	26.1	-	-
	Prior periods		-	-
	Deferred:			
	For the year	12.1	(179,116)	55,551
			(179,116)	55,551

26.1 Due to carry forward tax losses, no provision for taxation has been made during the period.

27 Related party transactions

The Bank has a related party relationship with its shareholders, their related entities, directors and key management personnel. The Bank had transactions with following related parties at mutually agreed terms during the year:

	Directors and other key management personnel (and close family members)		Shareholders and its associated companies	
	2025	2024	2025	2024
	AFN '000			
Nature of transactions				
(a) Financing contracts with related parties				
Balance outstanding at the beginning of the year	5,760	172,970	151,835	163,773
Amount issued during the year	-	5,760	172,970	-
Amount repayments during the year	-	(172,970)	(151,835)	(11,938)
Exchange gain	-	-	-	-
Balance outstanding at the end of the year	5,760	5,760	172,970	151,835
Profit/return earned	-	-	3,033	-

Provision for expected credit losses on outstanding balances of financing contracts with related parties amounts to AFN 1,729 thousand (December 31, 2024: AFN 1,518 thousand).

The facilities provided to related parties carry mark-up of 7% p.a. (December 31, 2024: 7% p.a.) payable on monthly basis and are secured against mortgage of residential property and personal guarantees of directors and representative of shareholders of the Bank.

	Directors and other key management personnel (and close family members)		Shareholders and its associated companies	
	2025	2024	2025	2024
	AFN '000			
Nature of transactions				
(b) Deposits from related parties				
Deposits at the beginning of the year	50,157	47,722	52,048	16,157
Deposits received during the year	12,314	3,908	408,744	303,341
Deposits repaid during the year	(8,800)	(1,465)	(446,491)	(266,887)
Exchange rate difference	(4)	(8)	(165)	(563)
Deposits at the end of the year	53,667	50,157	14,136	52,048
Profit expense on deposits	-	-	-	-

These represent current account of related parties, which do not carry return (December 31, 2024: Nil).

Nature of transactions	Directors and other key management personnel (and close family members)		Shareholders and its associated companies	
	2025	2024	2025	2024
	---------- AFN '000 ----------			
(c) Other related party transactions				
Fee and commission income	-	-	536	924
Directors' fee	23,813	28,879	-	-
Rental expenses	-	-	36,046	43,101

	2025	2024
	--------- AFN in '000 ---------	
(d) Key Management compensation		
Salaries and other short-term benefits	63,823	50,994
	63,823	50,994

Key Management personnel of the Bank include the Chief Executive Officer, Chief Finance Officer, Chief Operating Officer, Chief Credit Officer and Chief Risk Officer.

28 Cash and cash equivalents

	2025	2024
	AFN in '000	
Cash in hand and at ATM	7,047,392	12,829,626
Balances with DAB (other than minimum reserve requirement)	1,165,882	3,132,490
Balances with other banks (other than held as a cash margin)	4,669,403	4,784,267
Placements / wakala (with maturity less than three months)	3,216,185	5,189,351
	16,098,862	25,935,734

29 Earnings per share - Basic and diluted

Profit after taxation (AFN '000)	391,177	1,359,102
Weighted average number of ordinary shares - (number in thousand)	30,000	30,000
Earnings per share - Basic and diluted (AFN)	13.04	45.30

29.1 There is no dilutive effect on basic earnings per share of the Bank.

30 Financial risk management

30.1 Financial Assets and Liabilities

December 31, 2025	Financial assets (other than investments)- At amortized cost	Financial assets at amortized cost	Finanical assets at fair value through OCI	Financial liabilities at amortized cost	Total
Financial assets	AFN '000				
Cash and balances with Da Afghanistan Bank	11,198,157	-	-	-	11,198,157
Balances with other banks	4,680,301	-	-	-	4,680,301
Placements / wakala - net	-	10,219,605	-	-	10,219,605
Investments / sukuk - net	-	1,953,168	5,402,561	-	7,355,729
Islamic financing to customers - net	269,308	-	-	-	269,308
Other assets	-	928,898	-	-	928,898
	16,147,766	13,101,671	5,402,561	-	34,651,998
Financial liabilities					
Customers' deposits	-	-	-	33,750,713	33,750,713
Lease liabilities	-	-	-	73,538	73,538
Other liabilities	-	-	-	242,890	242,890
	-	-	-	34,067,141	34,067,141

December 31, 2024	Financial assets (other than investments)- At amortized cost	Financial assets at amortized cost	Finanical assets at fair value through OCI	Financial liabilities at amortized cost	Total
Financial assets	---------- AFN '000 ----------				
Cash and balances with 'Da Afghanistan Bank	19,467,147	-	-	-	19,467,147
Balances with other banks	4,795,887	-	-	-	4,795,887
Placements / wakala - net	-	7,165,251	-	-	7,165,251
Investments / sukuk - net	-	2,021,265	564,504	-	2,585,769
Islamic financing to customers - net	137,619	-	-	-	137,619
Other assets	-	1,467,269	-	-	1,467,269
	24,400,653	10,653,785	564,504	-	35,618,942
Financial liabilities					
Customers' deposits	-	-	-	37,855,885	37,855,885
Lease liabilities	-	-	-	115,432	115,432
Other liabilities	-	-	-	460,735	460,735
	-	-	-	38,432,052	38,432,052

30.2 Financial Risk factors

The Bank's activities expose it to a variety of financial risks and those activities involve the analysis, evaluation, acceptance and management of some degree of risk or combination of risks. Taking risk is core to the financial business and the operational risks are an inevitable consequence of being in business. The Bank's aim is therefore to achieve an appropriate balance between risk and return and minimize potential adverse effects on the Bank's financial performance.

The Bank's risk management policies are designed to identify and analyze these risks, to set appropriate risk limits and controls, and to monitor the risks and adherence to limits by means of reliable and up to date information systems. The Bank regularly reviews its risk management policies and systems to reflect changes in markets, products and emerging best practice.

Risk management is carried out by a Risk Management Department (RMD) under policies approved by the Management Board. RMD identifies, evaluates and manages financial risks in close co-operation with the Bank's operating units. The Management Board provides written principles for overall risk management, as well as written policies covering specific areas, such as foreign exchange risk, profit rate risk, credit risk and use of non-derivative financial instruments. The internal audit is responsible for the independent review of risk management and control environment. The most important types of risk are credit risk, liquidity risk, market risk and other operational risk. Market risk includes currency risk, profit rate and other price risk.

30.3 Credit Risk

The Bank takes on exposure to credit risk, which is the risk that a counterparty will cause a financial loss for the Bank by failing to discharge an obligation. Credit risk is the most important risk for the Bank's business; management therefore carefully manages its exposure to credit risk. Credit exposures arise principally in financing activities that lead to financing contracts and advances, balances with banks and receivable from financial institution and placements with other banks. Credit risk also arises in off-balance sheet financial instruments, such as Bank's contingencies and commitments. The credit risk management and control are centralized in credit risk management team of Bank and reported to the management team and head of each business unit regularly. Balances with DAB are not exposed to credit risk.

30.4 Credit risk measurement

Definition of default and cure

The Bank considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. As a part of a qualitative assessment of whether a customer is in default, the Bank also considers a variety of instances that may indicate unlikeliness to pay. When such events occur, the Bank carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate.

It is the Bank's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least 3 consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition. The bank is observing a probationary period of a minimum of 3 instalments (for repayments which are on a quarterly basis or shorter) and 12 months (in cases where instalments are on a longer frequency than quarterly) after the restructuring, before upgrading from Stage 3 to 2.

Credit ratings and PD estimation process

The exposure at default (EAD) represents the gross carrying amount of the financial instruments subject to the impairment calculation, addressing both the client's ability to increase its exposure while approaching default and potential early repayments too.

The EADs are determined based on the expected payment profile, which varies by product type. For amortizing products and bullet repayment loans, this is based on the contractual repayments owed by the borrower over the 12 months and lifetime basis. This is also adjusted for any overpayments made by the borrower. For revolving products, the EAD is predicted by taking current drawn balance and adding a credit conversion factor which allows for the expected drawdown of the remaining limit by the time of default.

To calculate the EAD for a Stage 1 loan, the Bank assesses the possible default events within 12 months for the calculation of the 12mECL. For Stage 2, Stage 3 and POCI financial assets, the exposure at default is considered for events over the lifetime of the instruments.

Loss given default

Bank calculates LGD rates and these LGD rates take into account the EAD for historical pool of non-performing financial assets in comparison to the amount recovered or realized against such financing contracts. In determine LGDs, the Bank considers all eligible collateral provided the collateral can be legally enforced. Due to the complexities involved in the Afghanistan regarding collateral realization and lack of historical experience to demonstrate recoveries through realization of collaterals, the Bank restricts the expected recoveries (to be considered in LGD computations) based on its historical recovery experiences.

Significant increase in credit risk

The Bank continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Bank assesses whether there has been a significant increase in credit risk since initial recognition. The Bank has established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition. Significant increase in credit risk is measured by comparing the risk of default estimated at origination with the risk of default at reporting date. The Bank also applies a secondary qualitative method for triggering a significant increase in credit risk for an asset, such as moving a customer/facility to the watch list, or the account becoming forborne. Regardless of the change in credit grades, if contractual payments are more than 30 days past due, the credit risk is deemed to have increased significantly since initial recognition.

Measuring expected credit losses - ECL

PD, EAD and LGD are multiplied together and adjusted for the likelihood of survival (i.e. the exposure has not prepaid or defaulted in earlier year) on annual basis. This effectively calculates an ECL for each future year, which is then discounted back to the reporting date and summed. The discount rate used in ECL computation is the original effective profit rate or an approximation thereof.

Forward looking economic information is also included in determining the 12 month and lifetime ECL. The bank has performed historical analysis and identified key economic variables impacting credit risk and ECL for each portfolio. These economic variables and their associated impact on PD, EAD and LGD vary by financial instrument. Expert judgement has also been applied in this process. Forecast of these economic variables (the "base economic scenario") are obtained from external sources on a quarterly basis.

In addition to the base economic scenario, the management also estimate other possible scenarios along with scenarios weighting. The scenario weighting are determined by an expert credit judgement. As with any economic forecasts, the projections and likelihoods of the occurrence are subject to a high degree of inherent uncertainty and therefore the actual outcomes may be significantly different to those projected. The bank considers these estimates of the possible outcomes. The bank has used base, upside and downside scenarios for its ECL estimation.

Impairment under local regulations

(i) Over due balances on loans to customers are segmented into five categories as described in note 3.3.5. The percentage of provision created on such over due balances are as per guidelines issued by DAB and reflects the range of default probabilities defined for each category. This means that, in principle, exposures migrate between classes as the assessment of their probability of default changes.

(ii) Exposure at default is based on the amounts, the Bank expects to be owed at the time of default. For example, for a loan this is the face value. For a commitment, the Bank includes any amount already drawn plus the further amount that may have been drawn by the time of default, should it occur.

(iii) Loss given default or loss severity represents the Bank's expectation of the extent of loss on a claim should default occur. It is expressed as percentage loss per unit of exposure and typically varies by type of counterparty, type and seniority of claim and availability of collateral or other credit mitigation.

(b) Other than financing contracts and advances

Other than financing contracts and advances includes balances with other banks and financial institutions and placements with other banks, investments in bonds and held with DAB and other assets. Judgments and instructions from the Bank's treasury are being used by the Bank's management in placing funds with other banks and are viewed as a way to gain better credit quality mapping and maintain a readily available source to meet the funding requirements at the same time when required.

Further, the Bank has banking relationships with financial institutions which have good international reputation and strong financial standing and therefore, probability of default by such financial institutions is low.

30.5 Risk limit control and mitigation policies

The Bank manages, limits and controls concentrations of credit risk wherever they are identified – in particular, to individual counterparties and groups, industries and countries.

The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to geographical and industry segments. Such risks are monitored on a revolving basis and subject to an annual or more frequent review, when considered necessary. Limits on the level of credit risk by product and industry sector are approved quarterly by the Management Board.

The exposure to any one borrower is further restricted by sub-limits covering on- and off-balance sheet exposures. Actual exposures against limits are monitored daily.

Exposure to credit risk is also managed through analysis of the ability of borrowers and potential borrowers to meet profit and capital repayment obligations at the time of loan appraisal for initial and subsequent loans.

Some other specific control and mitigation measures are outlined below.

(a) Collateral

The Bank employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advances, which is common practice. The Bank implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties
- Charges over business assets such as premises, inventory and accounts receivable

In addition, in order to minimize the credit loss, the Bank will seek additional collateral from the counterparty as soon as impairment indicators are noticed for the relevant individual loans and advances.

(b) Credit-related commitments

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit carry the same credit risk as loans. Documentary and commercial letters of credit – which are written undertakings by the Bank on behalf of a customer authorizing a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions – are collateralized by the underlying shipments of goods to which they relate and therefore carry less risk than a direct loan.

Commitments to extend credit represent unused portions of authorizations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards. The Bank monitors the term to maturity of credit commitments because longer-term commitments generally have a greater degree of credit risk than shorter-term commitments.

30.6 Analysis of maximum exposure to credit risk and collateral and other credit enhancements

	Maximum exposure	
	2025	2024
	AFN '000	AFN '000
Credit risk exposures relating to on-balance sheet items are as follows:		
Balances with other banks	4,680,301	4,795,887
Placements / wakala - net	10,219,605	7,165,250
Investments / sukuk - net (excluding capital notes with DAB)	7,355,729	2,585,769
Islamic finanicng and related assets - net	269,308	137,617
Other assets	928,898	1,467,269
	23,453,841	16,151,792
Credit risk exposures relating to off-balance sheet items are as follows:		
Guarantees	102,972	42,967
Undrawn financing and overdraft facilities	162,775	150,797
	265,747	193,764

The above table represents credit risk exposure to the Bank at December 31, 2025 and December 31, 2024 taking account of any collateral held or other enhancements attached. For on-balance-sheet assets the exposure set out above is based on net carrying amounts as reported in the statement of financial position.

The percentage of the maximum credit exposure in balances with other banks, placements / wakala, investments / sukuk and islamic financing and related assets are as follows (in percentage of the total credit exposure):

	2025	2024
Balances with other banks	19.96%	29.69%
Placements / wakala - net	43.57%	44.36%
Investments / sukuk - net (excluding capital notes with DAB)	31.36%	16.01%
Islamic finanicng and related assets - net	1.15%	0.85%

30.7 Credit quality of financial assets

The credit qualities of Bank's financial assets have been assessed below by the reference to external credit ratings of counter parties determined by various international credit rating agencies. The counterparties for which external credit ratings were not available, and have been assessed by reference to internal credit ratings determined based on their historical information for any defaults in meeting obligations.

	Credit rating	rating agency	2025	2024
			---------- AFN in '000 ----------	
Balances with other banks/FIs				
Counter parties with external credit ratings:				
Commerzbank Germany	Aa3	Moody's	846,552	839,942
Crown agents	BB	Fitch	1,515,110	2,078,519
Emirates NBD	Aa3	Moody's	270,783	850,082
State commercial bank of Turkmenistan	BB-	Moody's	194,452	243,557
Bank Centre Credit	Ba1	Moody's	253,438	181,998
Others			1,110,743	601,781

	Credit rating	rating agency	2025	2024
			---------- AFN in '000 ----------	
Placements / wakala				
Emirates NBD	Aa3	Moody's	6,673,070	4,289,961
Citibank	Aa3	Moody's	2,225,135	2,283,847

	2025	2024
	---------- AFN in '000 ----------	
Investments / sukuk - net	7,388,045	6,664,598

Investments / sukuk held carries various credit rating including AAA to Baa3. These investments are managed by the bank through Emirates NBD under investment criteria defined by the Bank. The credit quality and the maximum exposure to credit risk for under expected credit losses model is based on the Bank's credit rating grades and year-end stage classification as at December 31, 2025 and 2024 as disclosed in the note 8.4 to the financial statements.

	2025	2024
	---------- AFN in '000 ----------	
Islamic finanicng and related assets - net	269,308	137,617

The credit quality and the maximum exposure to credit risk for IFRS 9 stage categories based on the Bank's credit rating grades and year-end stage classification as at December 31, 2025 and December 31, 2024 are disclosed in note 9.4 to the financial statements.

	2025	2024
	---------- AFN in '000 ----------	
Receivables from financial institutions		
Counter parties	-	-
Other assets		
Counter parties	928,898	1,467,269

30.8 Islamic finanicng and related assets - net

	Note	2025	2024
		---------- AFN in '000 ----------	
Islamic financing are summarized as follows:			
Neither past due nor impaired		268,389	265,411
Past due but not impaired		4,000	141,671
Non-performing- Stage 3		53,197	67,946
Gross outstanding		325,586	475,028
Less: Allowance for impairment			
General provision		(2,881)	(246,576)
Provision held for expected credit losses - note		(53,397)	(90,835)
		(56,278)	(337,411)
		269,308	137,617

(a) Islamic financing and related assets neither past due nor impaired

The credit quality of the portfolio of Islamic finanicng and related assets that were neither past due nor impaired can be assessed by reference to the IFRS 9.

	Commercial financing contracts		SME financing contracts	Consumer financing contracts	
	Overdraft	Term loans	Term loans	Term loans	Total
	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000
December 31, 2025					
Regular financing contracts	-	-	-	-	-
December 31, 2024					
Regular financing contracts	-	-	-	-	-
(b) Financing contracts past due but not impaired					
December 31, 2025					
Past due up to 30 days	-	-	-	-	-
Fair value of collateral	-	-	-	-	-
December 31, 2024					
Past due up to 30 days	-	-	-	-	-
Fair value of collateral	-	-	-	-	-

Upon initial recognition of financing contracts, the fair value of collateral is based on valuation techniques commonly used for the corresponding assets. In subsequent periods, the fair value is updated by reference to market price or indexes of similar assets.

(c) Financing contracts individually impaired

The individually impaired Islamic financing to customers before taking into consideration the cash flows from collateral held is AFN 0 thousands (December 31, 2024: AFN 0 thousands).

	Commercial financing contracts		SME financing contracts	Consumer financing contracts	
	Overdraft	Term loans	Term loans	Term loans	Total
	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000
December 31, 2025					
Non-performing - Stage 3	53,179	-	-	-	53,179
Fair value of collateral	1,187,052	-	-	-	1,187,052

December 31, 2024					
Non-performing - Stage 3	75,539	-	-	-	75,539
Fair value of collateral	111,364	-	-	-	111,364

(d) Financing contracts restructured / rescheduled

Restructuring activities include extended payment arrangements and deferral of payments. Restructuring policies and practices are based on indicators or criteria which, in the judgment of management, indicate that payment will most likely continue. These policies are kept under continuous review. Renegotiated financing contracts that would otherwise be past due or impaired at December 31, 2025 were AFN 0 thousands (December 31, 2024: AFN 0 thousands).

	December 31, 2025		December 31, 2024	
	Financing contract amount at the time of rescheduling AFN '000	At year-end AFN '000	Financing contract amount at the time of rescheduling AFN '000	At year-end AFN '000
Commercial loans and advances:				
Term loans	-	88,748	-	77,927
Total	-	88,748	-	77,927

30.9 Concentration of risk of financial assets with credit risk exposure

(a) Geographical sectors

The following table breaks down the Bank's main credit exposure at their carrying amounts, as categorized by geographical region as of December 31, 2025. For this table, the Bank has allocated exposures to regions based on the country of domicile of our counterparties.

2025	On balance sheet:						Off balance sheet:	
	Balances with other banks AFN '000	Placements / wakala AFN '000	Investments / sukuk AFN '000	Islamic financing and related assets - net AFN '000	Receivable from financial institutions AFN '000	Other assets AFN '000	Contingencies and commitments AFN '000	Total AFN '000
Afghanistan	-	-	-	269,308	-	-	265,747	535,055
Lebanon	-	-	-	-	-	201,039	-	201,039
Germany	857,450	-	-	-	-	-	-	857,450
UAE	-	8,898,205	7,355,729	-	-	-	-	16,253,934
USA	-	-	-	-	-	-	-	-
UK	1,515,110	-	-	-	-	-	-	1,515,110
Turkey	-	-	-	-	-	-	-	-
Uzbekistan	485,708	-	-	-	-	-	-	485,708
Kazakhstan	253,438	-	-	-	-	-	-	253,438
Turkmenistan	194,452	-	-	-	-	-	-	194,452
India	4,072	-	-	-	-	-	-	4,072
Portugal	-	-	-	-	-	-	-	-
Abu Dhabi	-	660,700	-	-	-	-	-	660,700
Dubai	270,783	-	-	-	-	-	-	270,783
Others	1,099,287	-	-	-	-	-	-	1,099,287
	4,680,301	9,558,905	7,355,729	269,308	-	201,039	265,747	22,331,029
(b) Industry sectors								
Government / Public sector	-	-	7,355,729	-	-	-	-	7,355,729
Manufacturing	-	-	-	207,409	-	-	-	207,409
Construction	-	-	-	-	-	-	-	-
Power	-	-	-	-	-	-	-	-
Banks and financial	4,680,301	9,558,905	-	-	-	-	-	14,239,206
Fuel suppliers	-	-	-	53,280	-	-	-	53,280
Others	-	-	-	8,619	-	-	-	8,619
	4,680,301	9,558,905	7,355,729	269,308	-	-	-	21,864,243

(a) Geographical sectors

The following table breaks down the Bank's main credit exposure at their carrying amounts, as categorized by geographical region as of December 31, 2024. For this table, the Bank has allocated exposures to regions based on the country of domicile of our counterparties.

2024	On balance sheet:						Off balance sheet:	
	Balances with other banks AFN '000	Placements / wakala AFN '000	Investments / sukuk AFN '000	Loans and advances to customers - net AFN '000	Receivable from financial institutions AFN '000	Other assets AFN '000	Contingencies and commitments AFN '000	Total AFN '000
Afghanistan	-	-	-	137,619	-	-	193,764	331,383
Lebanon	-	-	-	-	-	853,508	-	853,508
Germany	740,703	-	-	-	-	-	-	740,703
UAE	-	4,881,839	-	-	-	-	-	4,881,839
USA	-	2,283,847	-	-	-	-	-	2,283,847
UK	2,177,758	-	-	-	-	-	-	2,177,758
Turkey	159,699	-	-	-	-	-	-	159,699
Uzbekistan	1,620	-	-	-	-	-	-	1,620
Kazakhstan	181,998	-	-	-	-	-	-	181,998
Turkmenistan	243,557	-	-	-	-	-	-	243,557
India	874	-	-	-	-	-	-	874
Portugal	202,654	-	-	-	-	-	-	202,654
Hungary	-	-	-	-	-	-	-	-
Slovenia	-	-	-	-	-	-	-	-
Others	-	-	4,406,231	-	-	-	-	4,406,231
	3,708,863	7,165,686	4,406,231	137,619	-	853,508	193,764	16,465,671
Government / Public sector	-	-	4,406,231	-	-	-	-	4,406,231
Manufacturing	-	-	-	-	-	-	-	-
Construction	87,767	-	-	-	-	-	-	87,767
Power	149,175	-	-	-	-	-	-	149,175
Banks and financial institutions	3,708,863	7,165,686	-	-	-	-	-	10,874,549
Fuel suppliers	-	-	-	-	-	-	-	-
Others	-	-	-	-	-	-	-	-
	3,945,805	7,165,686	4,406,231	-	-	-	-	15,517,722

31 Market risk

The Bank takes on exposure to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in profit/return rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as profit rates, credit spreads and foreign exchange.

32 Foreign exchange

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Management committee sets limits on the level of exposure by currency and in aggregate for both overnight and intra-day positions, which are monitored daily. The table below summarizes the Bank's exposure to foreign currency exchange rate risk at December 31, 2025 and December 31, 2024. Included in the table are the Bank's financial instruments at carrying amounts, categorized by currency.

	AED	USD	EUR	GBP	INR		Total
	Converted to AFN '000					AFN '000	AFN '000
As at December 31, 2025							
Assets							
Cash and balances with Da Afghanistan Bank	-	6,449,196	150,799	-	-	4,598,162	11,198,157
Balances with other banks	1,800	3,799,053	718,952	159,737	760	-	4,680,302
Placements / wakala	-	10,219,605	-	-	-	-	10,219,605
Investments / sukuk	-	7,388,045	-	-	-	-	7,388,045
Islamic financing and related assets	-	9,466	-	-	-	316,121	325,587
Other assets	-	593,343	12,700	-	-	534,619	1,140,662
Total financial assets	1,800	28,458,708	882,451	159,737	760	5,448,902	34,952,359
Liabilities							
Customers' deposits	-	28,408,384	347,421	-	1,483	4,993,425	33,750,713
Lease liabilities	-	-	-	-	-	73,538	73,538
Other liabilities	-	396,872	525	-	-	154,897	552,294
Total financial liabilities	-	28,805,256	347,946	-	1,483	5,221,860	34,376,545
On-balance sheet - net	1,800	(346,548)	534,505	159,737	(723)	227,042	575,814

As at December 31, 2024							
Total financial assets	516	31,332,319	737,977	100,671	866	6,880,255	39,052,605
Total financial liabilities	-	31,370,492	212,353	171,437	-	6,839,126	38,593,408
On-balance sheet - net	516	(38,173)	525,624	(70,766)	866	41,129	459,197

Sensitivity analysis:

If the functional currency, at the year end date, strengthens/weakens by 5% against the other currencies, as disclosed above, with all other variables held constant, the impact on profit or loss for the period would be as given below mainly as a result of exchange gains/losses on translation of foreign exchange denominated receivables and payables.

	AED	USD	EUR	GBP	INR
2025					
5% increase (AFN'000) - profit/ (loss)	(90)	17,327.40	(26,725)	(7,987)	36
5% decrease (AFN'000) - profit/ (loss)	90	(17,327)	26,725	7,987	(36)
2024					
5% increase (AFN'000) - profit/ (loss)	(26)	1,909	(26,281)	3,538	(43)
5% decrease (AFN'000) - profit/ (loss)	26	(1,909)	26,281	(3,538)	43

33 Profit rate risk

Cash flow profit rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market profit rates. Fair value profit rate risk is the risk that the value of a financial instrument will fluctuate because of changes in market profit rates. The Bank takes on exposure to the effects of fluctuations in the prevailing levels of market profit rates on both its fair value and cash flow risks. profit margins may increase as a result of such changes but may reduce losses in the event that unexpected movements arise. Bank's investments in sukuk, islamic financing carry fixed coupon/ Profit rates.

The table below summarizes the Bank's exposure to profit rate risks. It includes the Bank's financial instruments at carrying amount, categorized by the earlier of contractual reprising or maturity dates.

	Profit bearing					Total Profit bearing	Non- Profit bearing	Total
	Up to 1 month	1 to 3 months	3 to 12 months	1 to 5 years	Over 5 years			
	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000	AFN '000
As at December 31, 2025								
Assets								
Cash and balances with Da Afghanistan Bank	-	-	-	-	-	-	11,198,157	11,198,157
Balances with other banks	4,680,302	-	-	-	-	4,680,302	-	4,680,302
Placements / wakala	991,050	2,555,485	184,996	184,996	6,303,078	10,219,605	-	10,219,605
Investments / sukuk	-	-	-	5,120,176	2,267,869	7,388,045	-	7,388,045
Islamic financing and related assets	336	263	7,369	264,421	-	272,389	-	272,389
Other assets	286,368	-	-	-	-	286,368	797,439	1,083,807
Total financial assets	5,958,056	2,555,748	192,365	5,569,593	8,570,947	22,846,709	11,995,596	34,842,305
Liabilities								
Customers' deposits	2,291,590	5,250	-	-	-	2,296,840	31,453,873	33,750,713
Lease liabilities	-	-	-	-	73,538	73,538	73,538	147,076
Other liabilities	-	-	-	-	-	-	478,003	478,003
Total financial liabilities	2,291,590	5,250	-	-	73,538	2,370,378	32,005,414	34,375,792
Total profit/return reprising gap	3,666,466	2,550,498	192,365	5,569,593	8,497,409	20,476,331	(20,009,817)	466,513
As at December 31, 2024								
Total financial assets	4,804,240	2,905,505	2,348,327	3,649,395	2,681,601	16,389,068	23,568,337	39,957,405
Total financial liabilities	117,562	-	3,875	-	(2,130)	119,307	38,563,444	38,682,751
Total profit/return reprising gap	4,686,678	2,905,505	2,344,452	3,649,395	2,683,731	16,269,761	(14,995,106)	1,274,654

If the profit increase / (decrease) by 100 bps, the profit or loss for the year would have been AFN 162,676 thousands (December 31, 2024: AFN 162,676 thousands) higher/ lower respectively.

34 Liquidity risk

Liquidity risk is the risk that the Bank is unable to meet its payment obligations associated with its financial liabilities when they fall due and to replace funds when they are withdrawn. The consequence may be the failure to meet obligations to repay depositors and fulfill commitments to lend.

34.1 Liquidity risk management process

The Bank's liquidity management process, includes:

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. This includes replenishment of funds as they mature or are borrowed by customers;
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow;
- Monitoring balance sheet liquidity ratios against internal and regulatory requirements; and
- Managing the concentration and profile of debt maturities.

Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month respectively, as these are key periods for liquidity management. The starting point for those projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets.

Bank Treasury also monitors unmatched medium-term assets, the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

34.2 Funding approach

Sources of liquidity are regularly reviewed by the Asset Liability Committee (ALCO) to maintain a wide diversification by currency, geography, provider, product and term.

Liquidity ratios

Financing contracts to deposit ratios

	2025	2024
Year-end	0.80%	0.36%
Maximum	0.06%	0.07%
Minimum	0.04%	0.05%
Average	0.05%	0.05%

34.3 Non-derivative financial liabilities and assets held for managing

The table below presents the cash flows payable by the Bank under non-derivative financial liabilities and assets held to manage liquidity risk by remaining contractual maturities at the date of the statement of financial position. The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Bank manages the inherent liquidity risk based on expected undiscounted cash inflows.

	Up to 1 month AFN '000	1 to 3 months AFN '000	3 to 12 months AFN '000	1 to 5 years AFN '000	Over 5 years AFN '000	Total AFN '000
As at December 31, 2025						
Liabilities						
Customers' deposits	2,293,375	263	3,203	-	-	2,296,841
Lease liabilities	-	-	-	-	73,538	73,538
Total financial liabilities (contractual maturity dates)	2,293,375	263	3,203	-	73,538	2,370,379
Total financial assets (contractual maturity dates)	17,953,652	2,555,748	192,365	5,569,593	8,570,947	34,842,305
As at December 31, 2024						
Liabilities						
Customers' deposits	37,852,010	-	3,875	-	-	37,855,885
Lease liabilities	117,562				(2,130)	115,432
Total financial liabilities (contractual maturity dates)	37,969,572	-	3,875	-	(2,130)	37,971,317
Total financial assets (contractual maturity dates)	28,372,557	2,905,505	2,348,327	3,649,395	2,681,601	39,957,405

Assets available to meet all of the liabilities and to cover outstanding loans commitment include cash and balances with Da Afghanistan Bank, balances with other banks and receivable from financial institutions, placements, Islamic financing and related assets to customers and security deposits and other receivables.

34.4 Off-balance sheet items

The dates of the contractual amounts of the Bank's off-balance sheet financial instruments that commit it to extend credit to customers and other facilities are summarized in the table below:

	Not later than 1 year AFN '000	1 to 5 years AFN '000	Over 5 years AFN '000	Total AFN '000
As at December 31, 2025				
Guarantees	69,993	92,782	-	162,775
Undrawn financing and overdraft facilities	23,684	79,288	-	102,972
Total	93,677	172,070	-	265,747
As at December 31, 2024				
Guarantees	18,488	24,479	-	42,967
Undrawn financing and overdraft facilities	34,899	115,898	-	150,797
Total	53,387	140,377	-	193,764

35 Fair value of financial assets and financial liabilities

Liquidity risk is the risk that the Bank is unable to meet its payment obligations associated with its financial liabilities when they fall due and to replace funds when they are withdrawn. The consequence may be the failure to meet obligations to repay depositors and fulfill commitments to lend.

(a) Financial instruments measured at fair value using a valuation technique

The table below analyses financial instruments carried at fair value, by valuation method. The various fair value levels have been defined as follows:

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices).

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

	Level 1	Level 2	Level 3
	AFN '000	AFN '000	AFN '000
Investments / sukuk - Fair value through OCI			
As at December 31, 2025	-	5,402,561	-
As at December 31, 2024	-	564,504	-

Valuation technique and key inputs used for investments in bonds were quoted market bid price in active market.

There were no transfers made among various levels of fair value hierarchy during the year.

(b) Financial instruments not measured at fair value

The table below summarizes the carrying amounts and fair values of those financial assets and liabilities which are presented on the Bank's statement of financial position at value other than fair value.

	Carrying Value		Fair Value	
	2025	2024	2025	2024
	AFN '000	AFN '000	AFN '000	AFN '000
Financial assets				
Cash and balances with Da Afghanistan Bank	11,198,157	19,467,147	11,198,157	19,467,147
Balances with other banks	4,680,301	4,795,887	4,680,301	4,795,887
Placements / wakala - net	10,219,605	7,165,251	10,219,605	7,165,251
Investments / sukuk - net	1,953,168	6,100,094	1,953,168	6,100,094
Islamic finanicng and related assets	269,308	137,619	269,308	137,619
Security deposits and other receivables - net	797,439	1,383,822	797,439	1,383,822

Financial liabilities

Customers' deposits	33,750,713	37,855,885	33,750,713	37,855,885
Other liabilities	478,003	711,434	478,003	711,434

Off-balance sheet financial instruments

Bank's guarantees	102,972	42,967	102,972	42,967
Bank's commitments	162,775	150,797	162,775	150,797

The carrying values of these financial assets and liabilities approximates their fair values as at the date of statement of financial position.

(i) Investments/sukuk:

These include investment bonds classified as held-to-maturity which are measured at amortised cost. The fair value of these investments/sukuk is equal to the carrying amount.

(ii) Financing contracts, other assets and other financial liabilities

Fair value of financing contracts, security deposits and other receivables and all the financial liabilities cannot be calculated with sufficient reliability due to absence of current and active market for such assets and reliable data regarding market rates for similar instruments, so its carrying amount is its fair value. The provision for financing contracts has been calculated in accordance with the Bank's policy and regulations issued by DAB.

(iii) Off-balance sheet financial instruments

The fair value of the off-balance sheet financial instruments is equal to the carrying amounts.

36 Capital Management

The Bank's objectives when managing capital, which is a broader concept than the 'equity' on the face of balance sheets, are:

(i) to comply with the capital requirements set by the DAB;
(ii) to safeguard the Bank's ability to continue as a going concern so that it can continue to be self-sustainable; and
(iii) to maintain a strong capital base to support the development of its business.

Capital adequacy and the use of regulatory capital are monitored regularly by the Bank's management. DAB requires each bank to maintain its Tier 1 Capital ratio and Regulatory Capital ratio to be at least 7.5 % and 13.5 % respectively. The Bank is maintaining this ratio well above the required level.

The table below summarizes the composition of the regulatory capital and ratio of the Bank:

	2025	2024
	---------- AFN in '000 ----------	
Tier 1 (Core) Capital:		
Total equity capital	3,234,981	3,984,117
Less:		
Intangible assets	(215,293)	(269,585)
Net deferred tax assets	(120,117)	-
Revaluation reserve on investments / sukuk at OCI	(30,507)	97,178
Profit for the year	(391,177)	(1,359,102)
	2,477,886	2,452,608
Tier 2 (Supplementary) Capital:		
restricted to 1.25% of total risk-weighted exposure	2,896	155,709
Profit for the year	391,177	1,359,102
Revaluation reserve on investments / sukuk (45%)	13,728	-
	407,801	1,514,811
Tier 2 (Supplementary) Capital '(restricted 100% of Tier 1 (Core) Capital)	407,801	1,514,811
	2,885,687	3,967,419
Risk-weight categories		
0% risk weight:		
Cash in Afghani and fully-convertible foreign currencies	7,047,392	12,829,626
Direct claims on DAB	4,150,765	6,637,520
Others	-	1,682,323
Total	11,198,157	21,149,469
0% risk-weight total (above total x 0%)	-	-

20% risk weight:		
Balances with other banks	14,900,883	11,961,572
Others	-	291,777
20% risk-weight total (above total x 20%)	2,980,177	2,450,670
50% risk weight:		
Others	-	498,062
50% risk-weight total (above total x 50%)	-	249,031
100% risk weight:		
All other assets	11,444,209	9,051,808
Less: intangible assets	(215,293)	(269,585)
Less: Deferred tax assets	(120,117)	-
All other assets - net	11,108,799	8,782,223
100% risk-weight total (above total x 100%)	11,108,799	8,782,223
Credit conversion factor		
0% risk weight:		
Undrawn financing and overdraft facilities	162,775	150,797
Guarantees	162,775	42,967
0% credit conversion factor total (risk-weighted total x 0%)	-	-
0% risk-weight total (above total x 0%)	-	-
20% risk weight:		
Commercial letters of credit	-	-
Guarantees	-	-
20% credit conversion factor total (risk-weighted total x 20%)	-	-
20% credit conversion factor total (risk-weighted total x 20%)	-	-
100% risk weight:		
Guarantees	-	-
100% credit conversion factor total (risk-weighted total x 100%)	-	-
100% risk-weight total (above total x 100%)	-	-
Total risk-weighted assets	14,088,976	11,481,924
Tier 1 Capital Ratio		
(Tier 1 capital as % of total risk-weighted assets)	17.59%	21.36%
Regulatory Capital Ratio		
(Regulatory capital as % of total risk-weighted assets)	20.48%	34.55%

37 General

37.1 Corresponding figures have been reclassified / re-arranged wherever necessary to facilitate comparison in the presentation in the current year. However, there are no material reclassification / re-arrangement to report.

37 The figures in these financial statements have been rounded off to the nearest in thousands in AFN.

38 Date of authorization for issue

These financial statements were authorized for issue by the Board of Supervisors of the Bank on 03rd April, 2026.

Chairman	Chief Executive Officer	Chief Financial Officer